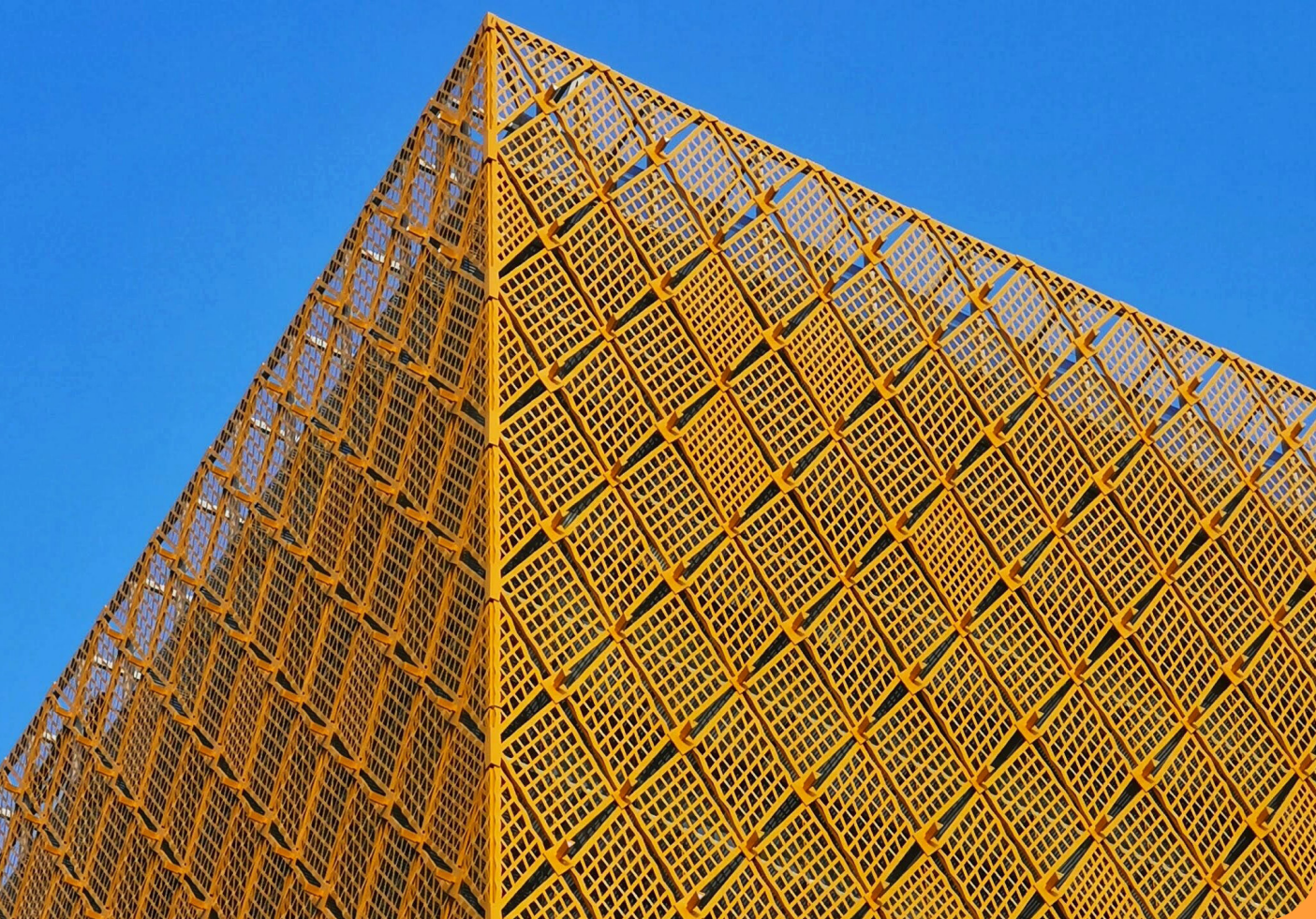


Open Banking in Saudi Arabia

A guide to the KSA Open Banking Framework

Photo by Abdullah Alaradi on Unsplash



A guide to the KSA Open Banking Framework

Who is this guide for?

This guide is for anyone that would like to gain a better understanding of the KSA Open Banking standard and ultimately start building enriched financial products, including but not limited to:

- Enterprises, fintechs, and start-ups looking to consume Open Banking services
- Established regulated financial services firms
- Open banking advisers and professionals

Lean on Open Banking

As a [Third Party Provider \(TPP\)](#) Lean has a critical role in the Open Banking ecosystem. By using Lean, you get a single point of access to manage your connections with bank accounts in KSA, and when you're ready to expand into a new market with a different set of standards, Lean can be your long-term partner to enable your transition without having to rewrite your entire codebase to handle a new market.

Why was this guide created by Lean?

On 2nd November, the Saudi Central Bank (SAMA) [released](#) the Open Banking Framework, which includes *“a comprehensive set of legislation, regulatory guidelines and technical standards based on international best practices to enable banks and fintechs to provide open banking services in the Kingdom”*.

This version focuses on Account Information Services (AIS). The imminent second version is in progress and will focus on Payment Initiation Services (PIS). SAMA has stated that all Saudi banks will go live with account data in Q1 of 2023 and payments will be targeted later the same year.

This guide aims to create clarity for all stakeholders and looks at the fundamental changes, compares the KSA standard with the Open Banking Implementation Entity's (OBIE) standard, and dives into the technical elements.

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What is Open Banking?

Open Banking is a regulated market approach enabling individuals to share the data held in their bank accounts with third parties securely and safely. At a fundamental level, it creates ownership of data for individuals and a pathway for them to share that data with companies that can use it to provide them with new and innovative services.

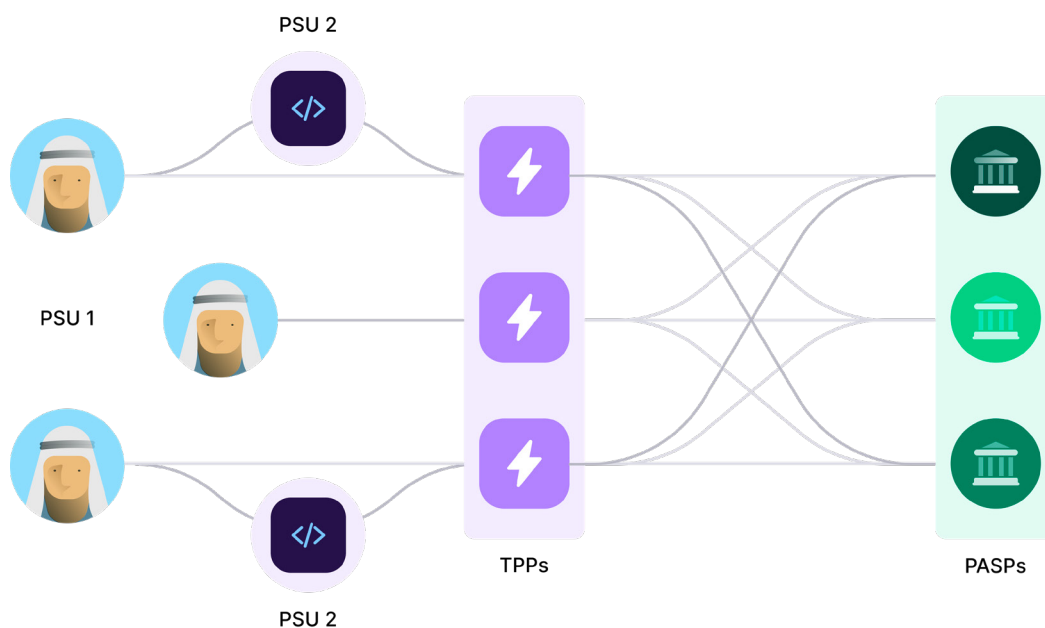
Europe introduced Open Banking to the world, led predominately by market regulation PSD2, and in parallel, the Open Banking Implementation Entity (OBIE) was created in the UK. The OBIE sets the Open Banking standard(s) for the UK, which has subsequently become the standard from which other jurisdictions have built their own.

Bahrain, as an example, does not introduce changes from the OBIE Standard in its localized implementation. However, other regulators have added region-specific capabilities and terms to improve the quality of data for their jurisdiction.

With SAMA's release of the KSA Standard (KSAOB) we have put together this guide to walk through the capabilities outlined in the new standard, identify how it differs from the OBIE standard, and outline some of the many ways that this new standard can be used. This guide should be used for information purposes only, and is not exhaustive.

Decoding the language of Open Banking

The numerous terms commonly used within Open Banking all add a layer of complexity. Unfortunately, you'll likely see these terms throughout documentation regarding Open Banking – so we've put together a quick primer to help you navigate the jargon of Open Banking.



An overview of the Open Banking ecosystem and its participants in KSAOB.

Term	Description
Account to Account transfer (A2A)	Is the act of making a payment through a bank-to-bank transfer instead of using, for example, a credit or debit card.
Account Information Service (AIS)	AIS is the act of retrieving data held in a customer's bank account.
Account Information Service Provider (AISP)	An AISP enables customers to view all their bank account information (across different banks) in one place.

Term	Description
Consent	A 'consent' is provided by a PSU 1 to allow a TPP to access the details in their account. A consent can be granted indefinitely, be time-boxed between dates, or be granted as a one-off consent. This defines how long a TPP is able to access the data. For PIS, consents generally need to be obtained for each individual payment (with the exception of VRPs)
Payment Account Service Provider (PASP)	A PASP is most often, but not limited to, a bank. They are the provider of the underlying account infrastructure, which is accessed through Open Banking APIs.
Payment Initiation Service (PIS)	PIS is the act of performing an account-to-account payment using Open Banking.
Payment Initiation Service Provider (PISP)	A PISP allows a customer to pay companies directly from their bank account(s) rather than using card networks such as Visa or MasterCard.
Payment Service User (PSU)	A PSU is a customer—or end-user of a service. A PSU can be a business, or an individual consumer.
Third Party Provider (TPP)	A Third Party Provider may be either an AISP or PISP, or both, and who is regulated to provide AIS and PIS services to a PSU 1.
Variable Recurring Payment (VRP)	A Variable Recurring Payment is a long lived consent from a customer to continue making payments on a monthly basis for differing amounts.

Glossary of terms used by Lean in this document

Term	Description
You	The person reading this, for the purposes of this document we assume that you are a TPP that wants to use Lean's services to connect to your customer's bank accounts.
Customers	Your customers that interact with your business
Consumers	Customers with Retail bank accounts
Businesses	Customers with Business bank accounts

Background to the KSA Open Banking Program

KSA's Open Banking Program is a regulatory framework comprising two critical elements; the Open Banking Framework and the Open Banking Lab.

The KSA Open Banking Framework

The Open Banking Framework is the regulatory framework that includes a comprehensive set of legislation, regulatory guidelines, and technical standards. It is split into a number of sections for ease of reference. These include:

1. Glossary: this section lists the key terms used throughout the KSA Open Banking Framework.
2. Use Cases: provides an overview of the Open Banking Evaluation and Prioritization Framework, together with details of the use cases to be enabled by each new release.
3. Business Rules: this section provides clear directives on the requirements that must be adhered to in order for banks and fintechs to provide open banking services in KSA, with items related to specific use cases clearly articulated.
4. KSA Standards: this is where the definitive KSA open banking standards set out (as detailed below).

The Open Banking Lab

The Open Banking Lab provides a technical testing environment to enable banks and fintechs to develop, test, and certify their open banking services to ensure conformance with the Open Banking Framework.

Similar to other testing environments globally, the KSA Open Banking Lab is designed to foster innovation and speed up the development of open banking in the Kingdom. It comprises:

1. **Sandbox environment:** this environment simulates a real bank's open banking APIs, developed to allow participants to build and test their applications in a safe and secure environment.
2. **Ready use cases:** the lab is designed to support a wide range of end retail and corporate use cases, with mock data available for participants to test their solutions.
3. **Testing and Certification:** lab participants can use the lab's conformance suites to test and certify their APIs to ensure their conformance with the KSA Open Banking Framework.

To directly access either parts of the program, interested participants need to contact the Open Banking Program at **ob@sama.gov.sa** to gain access.

Upon gaining access to the Open Banking framework, you access a repository of resources covering all aspects, including business and technical. You can also collaborate with SAMA's Open Banking team and other participants operating within the ecosystem, such as Lean.



Photo by Yunus A-Khalifah on Unsplash

The KSA Standard in detail

What does the standard cover?

The first version of SAMA's KSAOB standard covers AIS services for both Corporate and Retail payment accounts; this is grouped into two major sets of APIs. The Letter of Guarantee API and the Account Information API.

Letter of Guarantee API

A letter of guarantee is a type of document issued by a bank on behalf of a customer who has entered into a contract to purchase goods or services from a supplier. It acts as a promise that the supplier will be paid for the purchase of goods or services.

The letter of guarantee lets the supplier know that they will be paid, even if the customer of the bank defaults. The Letter of Guarantee API provides a digital process to create and manage a letter of guarantee.

Account Information API

The Account Information API is the cornerstone of gathering AIS information from accounts. It covers consents and requests to access the information contained in the following endpoints:

Accounts

A list of accounts that the PSU has granted consent to access.

Standing Orders

A list of Standing Orders that have been set up with the account to be paid in the future on an ongoing basis.

Parties

Identity information linked to the consented customer, as well as benefactors of any given account.

Direct Debits

A list of the Direct Debit payments set up against an account.

Balances

The balance(s) of a given account.

Transactions

A list of transactions performed using the payment account, with access of up to 4 years historical payment data.

Beneficiaries

A list of the accounts that have been added.

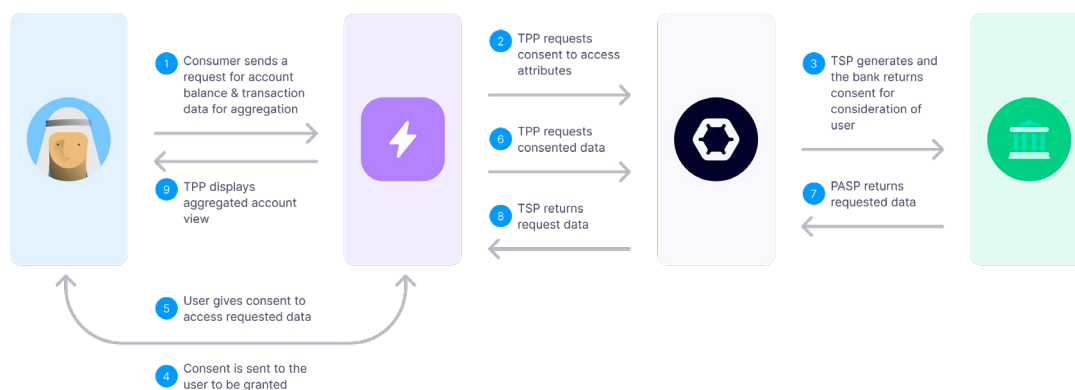
Scheduled Payments

A list of the payments that have been scheduled to take place in the future. As beneficiaries to the account for payment purposes.



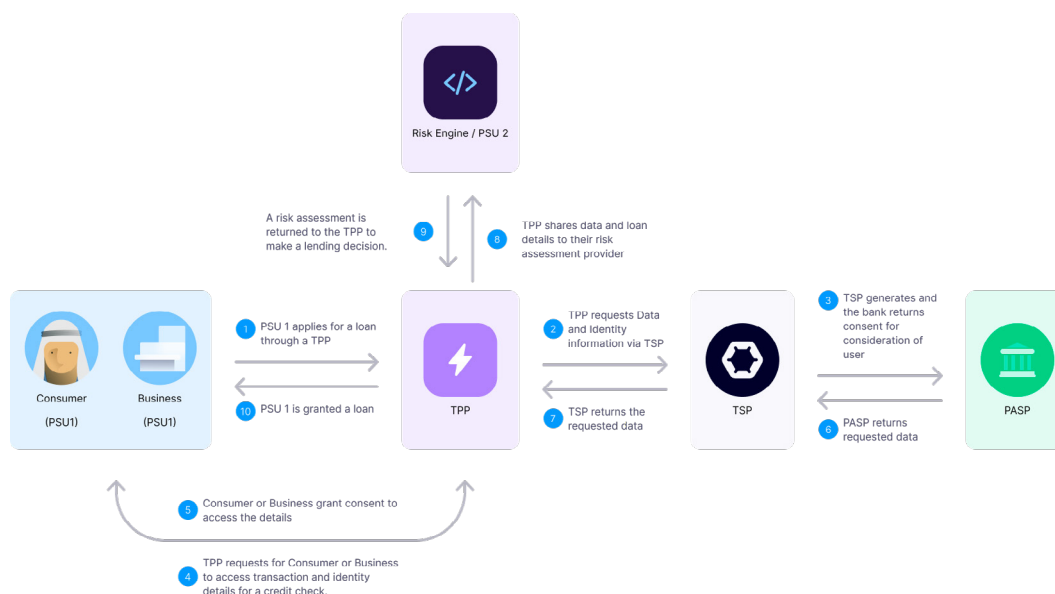
Example Use Cases of Open Banking in KSA

Personal Financial Management (PFM)



A key PFM use case for Open Banking is **account aggregation**. Instead of the consumer having to keep track of their money across different bank accounts, Lean can be the source for you to aggregate a view of all accounts into one app to provide a holistic view of a customer's financial landscape.

Lending



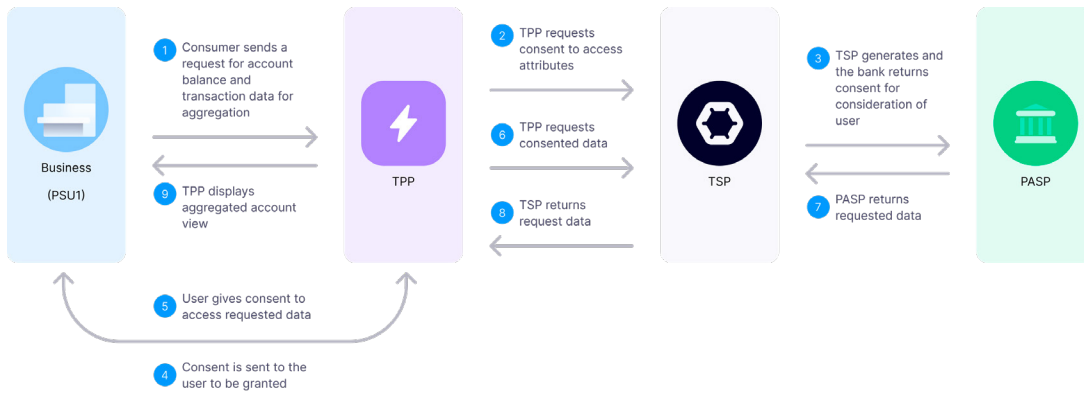
Lenders must perform many checks to underwrite a business or consumer loan. Often these checks are performed using a combination of uploaded bank statements and a debt-to-burden check with a Credit Bureau, such as SIMAH.

With Open Banking, consumers can easily share their past transactions in a consumable, programmatic format, allowing lenders to quickly review up to 4 years' worth of data to understand a customer's income, monthly outgoings and commitments.

Over the longer term, we predict that this data will become the primary source for procuring on the spot lending decisions as a pre-check qualification before conducting an expensive credit check on potential customers.

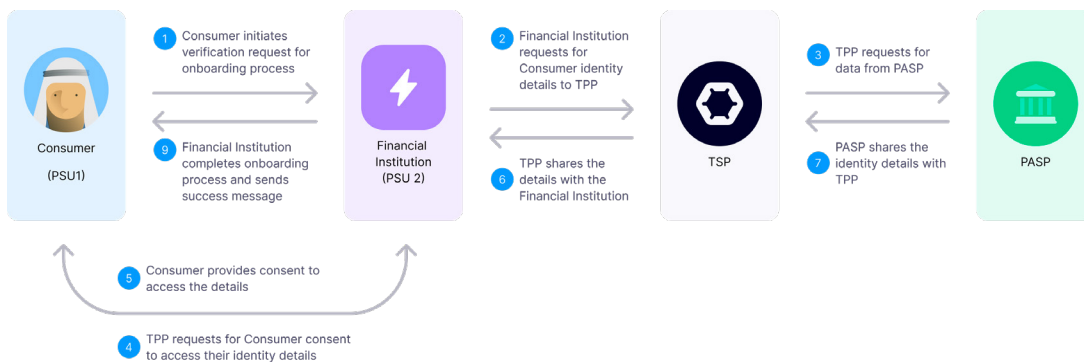
For business lenders, the opportunity to maintain access over time and see the impact of loans on the business' incomes and outgoings allows for smarter targeting of funds into businesses that effectively deploy loaned capital.

Digital Accounting



Using Lean's APIs for Enterprise Resource Planning (ERP) and back-office accounting applications allows those companies to aggregate multiple accounts in one place, connect numerous data sources, collect and analyze real-time information, reduce errors, save time, and ultimately boost back-office efficiency.

KYC & Digital Onboarding



Using Lean's Identity API provides the Trust Framework and Verified Data included in the Parties API outlined above. This gives you access to verified data, which can be vetted and used based on your own risk tolerances for the quality of data at a fraction of the cost of traditional KYC providers; giving your customers a faster way of authenticating and providing their details without the need for lengthy onboarding systems.

Key Differences between the OBIE Standard and KSAOB

There are several differences between the OBIE standard and KSAOB. Whilst this list is not exhaustive, broadly, these can be separated into three functional differences:

1. **Changes to business rules**
Differences in the mandates provided by the regulator in creating and managing Open Banking consents.
2. **Structural Changes to the Standard**
These are fundamental changes to the standard regarding the data served back using the API.
3. **Regional Specific Values**
These are minor changes that account for the differences in the financial landscape of KSA; typically these are seen as alternative or entirely new enum values for specific attributes.



Changes to Consents

The KSAOB standard differs significantly from the OBIE Standard with regards to Consents and Consent Management.

Consent types

In OBIE, a consent refresh is required every 90-days at the minimum. The responsibility for gaining this consent is currently transitioning from the PASP's responsibility, to becoming the TPP's responsibility—nonetheless for ongoing access to account information a TPP must record a users consent to continue collecting data every 90 days.

In KSAOB there are three types of consent:

- 1. One-time consent**

Allows a TPP to fetch the data they need once, without any further access to the account.

- 2. Time-boxed consent**

Allows the TPP to fetch the data they need between pre-defined dates in the past and into the future. This means for example, a TPP could create a consent for the next 1 year of new data, and the last 3 months of existing data.

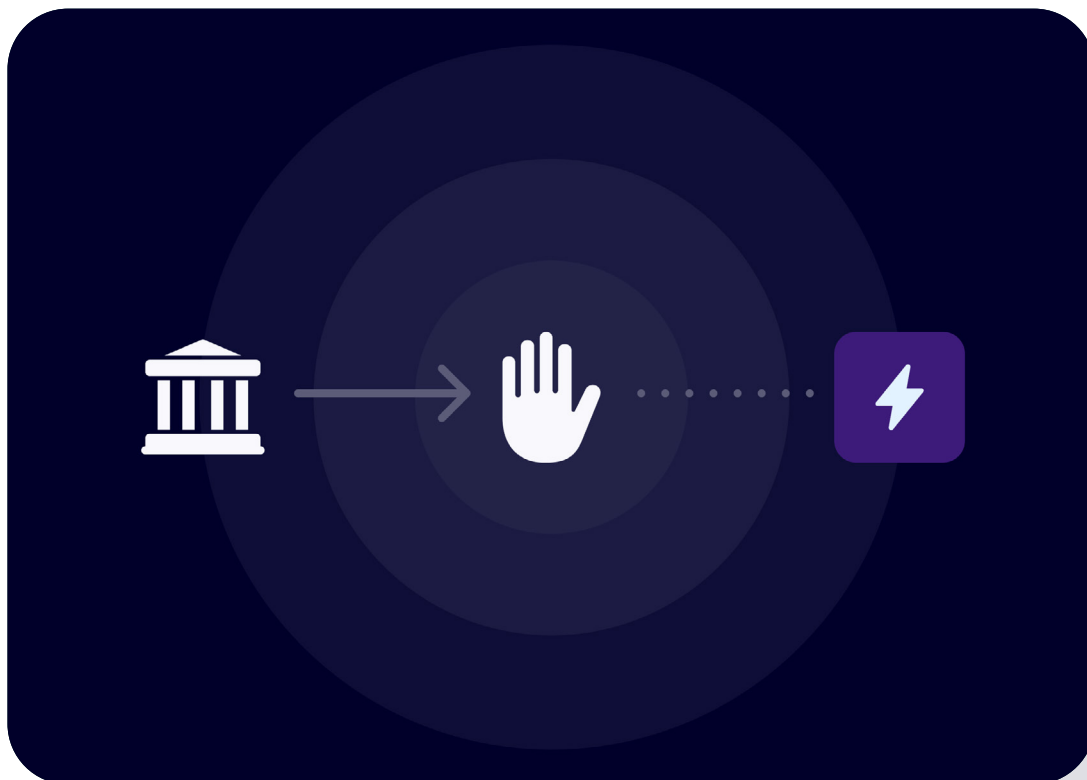
- 3. Ongoing consent**

This allows a TPP to maintain access to a PSU's account indefinitely (with the exception of a consent being revoked). This provides an enhanced user-experience for the applications where ongoing access is a prerequisite to their service working, for example a Personal Financial Management (PFM) application.

Consent Management

Revocation of consent is a major factor in KSAOB's framework, with the amount of access and trust being given to TPPs to manage access and consents for their use-cases this is contrasted with strong guidance on how a user can opt-out of the service. Specifically:

- Users **must** be able to revoke their consent within the application, following a set guideline for the information that needs to be presented to them and what will happen when they revoke their consent.
- Users **must** be able to revoke their consent from the bank itself. This means TPPs may lose access to accounts without being formally notified.



Changes to Endpoints

Accounts Endpoint

Structural Changes

REMOVED SwitchStatus: SwitchStatus is unique to the UK market, where a Current Account switching service is provided to enable consumers to change banks easily.

Regional Specific Values

CHANGED Status: More details are provided on the account's status, indicating further details of the nature of the state that the account is in.

OBIE Values	KSA
Enabled, Disabled, Deleted, Proforma, Pending	Active, Not Active, Dormant, Unclaimed, Deceased, Suspended, Closed

CHANGED AccountIdentifiers.IdentificationType: The OBIE standard has a slight ambiguity in how they handle the identification of accounts—sometimes requiring PCI compliance as Card Numbers can be shared. In KSAOB only IBANs and Masked PANs will be shared.

OBIE Values	KSA
BBAN, IBAN, PAN, Paym, sortCode AccountNumber	IBAN, MaskedPAN

Response attributes breakdown

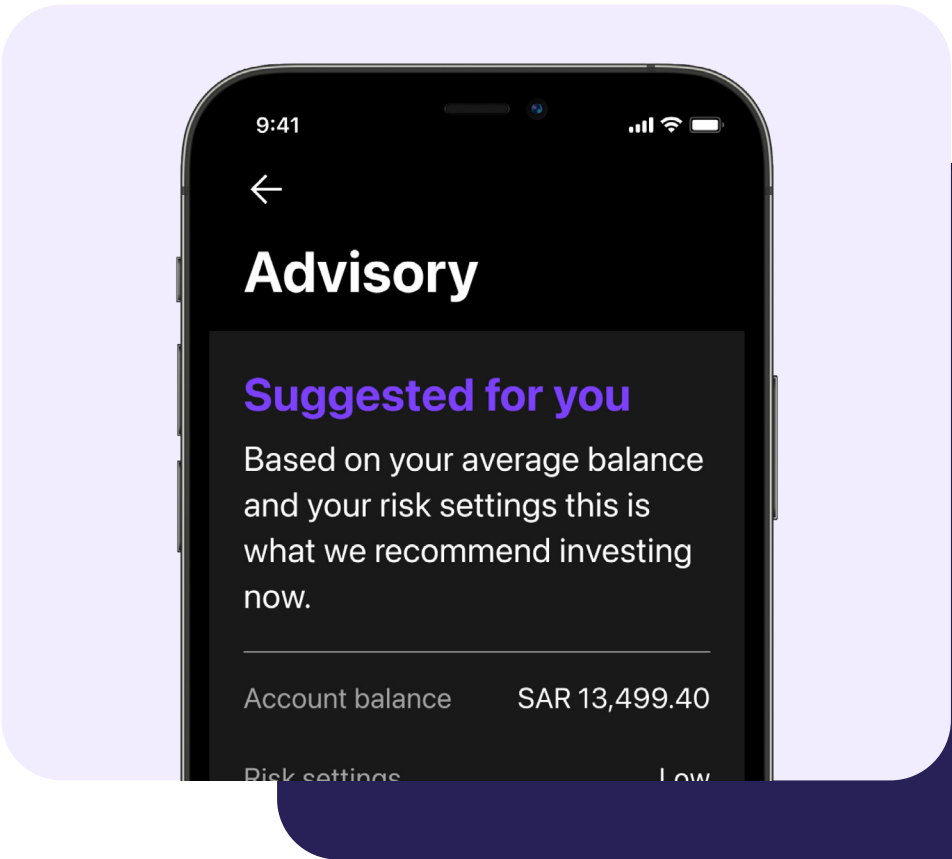
API	Attribute	Description
Accounts	Status	The status of the account, indicating whether it is active or inactive.
	StatusUpdateDateTime	The time at which the status was last updated.
	AccountType	Whether the account is a retail or business account.
	AccountSubType	The type of account, e.g. Current Account or E-Money account.
	Description	A description of the account provided by the bank.
	Nickname	A nickname for the account set by the account owner.
	OpeningDate	The date the account was opened.
	MaturityDate	The date the account reached maturity (where applicable).
	AccountIdentifiers	Details on the IBAN or PAN for the account. Provides both where a card is available for an account that can be identified with an IBAN.
	Servicer	Details on the organization that services the account.

Balances Endpoint

The balance endpoint has no changes from the OBIE Standard.

Response attributes breakdown

API	Attribute	Description
Balances	CreditDebitIndicator	Whether the account balance is in credit or debit.
	Type	The type of balance being provided. Enabling you to detect, for example, what the available balance on an account is against the current balance.
	DateTime	The time that the balance was provided.
	Amount	The amount and currency that is stored against this balance.
	CreditLine	The credit line(s) available, includes overdrafts and credit limits on cards.



Transactions Endpoint

Structural Changes

ADDED BillDetails: Added bill details generated from SADAD, includes **BillerID**, **BillNumber** and **BillPaymentType** attributes enabling you to easily identify defaulted payments, as an example.

Regional Specific Values

CHANGED CardInstrument.CardSchemeName: Region-specific cards have been added to the list of accepted enums.

OBIE Values	KSA
AmericanExpress Diners Discover MasterCard VISA	AmericanExpress, Diners, Discover, GCC, MasterCard, UPI, mada

CHANGED CardInstrument.InstrumentType: Region-specific and more highly specified list of payment instruments used with cards.

OBIE Values	KSA
ConsumerDevice Contactless None PIN	ApplePay, madaPay, Contactless, MagStripe, Chip, Other

ADDED debtorAccount.IdentificationType: To be used in conjunction with the **Identification** attribute, provides an enumerated value to provide context on the value in Identification.

OBIE Values	KSA
Not present	AccountNumber, CommercialRegistrationNumber, Email, MobileNumber, NationalID, IqamaNumber, PassportNumber

ADDED creditorAccount.IdentificationType: To be used in conjunction with the **Identification** attribute, provides an enumerated value to provide context on the value in Identification.

OBIE Values	KSA
Not present	AccountNumber, CommercialRegistrationNumber, Email, MobileNumber, NationalID, IqamaNumber, PassportNumber

Response attributes breakdown

API	Attribute	Description
Transactions	TransactionDateTime	The datetime that the transaction was performed.
	LocalTimeZone	The local datetime that the transaction was performed.
	ValueDateTime	The datetime that the value of the transaction was recorded on the account.
	BookingDateTime	The datetime that the transaction was actually (or is expected to be) booked against the account. This date can be in the future.
	StatementReference	The identification that appears on a customer's bank statement.
	TransactionReference	The full transaction reference.
	TransactionType	Indicates how the transaction was made, for example at a POS terminal or through an RTGS transfer.
	SubTransactionType	Indicates the nature of the transaction e.g. purchase, refund.
	TerminalId	The identifier for the terminal used to make the payment.
	Flags	Additional flags attached to the payment e.g. 'Cashback'.
	PaymentModes	Indicates whether the purchase was made online or in person.
	CreditDebitIndicator	Indicates whether the amount field is to be credited or debited from the account balance.
	Status	The current status of the transaction e.g. Booked.
	TransactionMutability	Whether the transaction can be changed or not in future as settlements take place throughout the day.
	TransactionInformation	Additional transaction information.
	Amount	The amount and currency that is charged against the balance.
	ChargeAmount	Additional fees for the transaction and whether they are included in the transaction amount.
	ChargeAmountVat	Any VAT applied to the charge.

CurrencyExchange	Details on the currency exchange fees at the time of purchase if the transaction was made in a currency other than the one supported by the account.
BankTransactionCode	Details on the bank's transaction codes for the transaction.
MerchantDetails	Details on the merchant that performed the transaction including Name and Merchant Category Code.
CreditorAgent	Details on the crediting party's account holder.
CreditorAccount	Details of the crediting party's account.
DebtorAgent	Details on the debiting party's account holder.
DebtorAccount	Details of the debiting party's account.
CardInstrument	If a card was used to complete the purchase, provides information about the card and how it authorized the transaction.
Balance	The balance of the account after the transaction was made.
BillDetails	If the transaction was used to pay a bill (e.g. through SADAD), provides details on the bill being paid.

Parties Endpoint

The Parties endpoint allows for collecting identity information on the customer. Unlike the previous endpoints, SAMA has expanded the purpose and capabilities of the Parties endpoint, using the OpenID Connect for Identity Assurance model instead of the OBIE standard.

Structural Changes

The Parties API has fundamentally been overhauled from the data present in the OBIE standard; providing far more granular data on the individual, and the efforts undertaken to verify and authenticate the details present in the API.

The response can be broken down into three constituent parts per entity:

1. Party Data

Includes high level information about the Identity and its relationship to the account(s) accessed. Specifically the **PartyID**, **PartyNumber**, **PartyType** and, **AccountRole**

2. Verification

Includes data and information on how the claims (see below) were obtained. This is set out in two objects **verification** which covers the Trust Framework, Level of Assurance and Verification methodology. **evidence** sets out the documents supplied during the verification process, specifically information on the following documents: Passport, Driving Permit, ID Card or Residence Permit.

3. Claims

While Verification contains information on what has been checked, claims hold the data gained from that document. For example, a Passport *claims* information related to your first, middle, and family names, as well as your birth date, nationality and sex. Other documentation will provide further claims.

API	Attribute	Description
Parties	PartyType	Indicates the party's relationship with the account, for example if they own it, it is a joint account or they are a delegate able to access the account.
	AccountRole	Specifies the party's role in the related account, example values such as: Administrator, Beneficiary, Power of Attorney.
	Verification	Details on the method used to verify the claims in this response. Including the Trust Framework used, the assurance level and, when the verification procedure took place.
	Evidence	Details on the evidence used in the verification process, how and when it was checked. Additionally provides the document details, and may be a Passport, Driving Permit, ID Card or Residence Permit.
	Claims	Outlines the claims made on the document(s) provided. Including but not limited to: details on the party's name, address, email, gender, birth date, phone number and, nationality.

How does Lean help with Open Banking?

Build vs. Buy: The benefits of using an aggregator

Whilst having a single Open Banking standard in place, in theory, means that integrating with each bank across the country is a 'build-and-move-on' process, the reality is often quite different. This is particularly true when a new standard is being implemented and differing interpretations of the underlying requirements exist. Lean solves this by doing the hard work for you.

Easy to use plug and play APIs

Lean makes it significantly easier to manage your connections with customers by introducing concepts such as our Customer API to effectively manage an individual's connections to your services.

Lean makes it significantly easier to manage your connections with customers by introducing concepts such as our Customer API to manage an individual's connections to your services effectively.

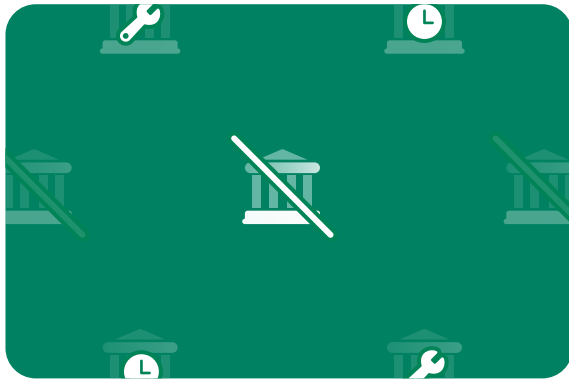
Our APIs are designed to take a lot of the complexity inherent within Open Banking standards out of the integration process to provide a more straightforward interface to interact with your customers; going from an implementation time of two weeks + per bank, to a couple of weeks for the entire ecosystem.

'One-and-done' integration

As banks continue to evolve and improve their adoption of the KSAOB, there will continue to be frequent updates across all banks for how they serve the data through their APIs. Additionally, over time, the standards and capabilities of an API may evolve. This means that performing an integration directly with a bank today doesn't mean it is ready for tomorrow.

Conversely, Lean has operated in the UAE for over two years and we're proud to say that we have **never** needed to ship a breaking change to our APIs. Customers of the very first iteration of our APIs have the same level of support as those onboarding today. We believe in progressive enhancements to our products, meaning you'll always be able to use the latest and greatest features without worrying about breaking your existing code.

A breaking change is defined as the removal or changing of the values in a field in our API—additional attributes being added are not seen as a breaking change.



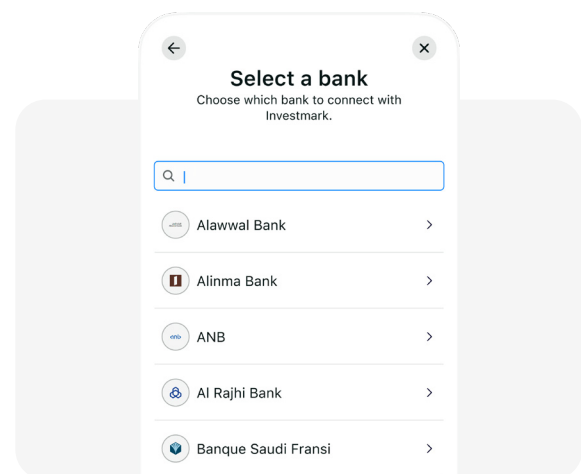
Reduce the burden of maintenance

The maintenance burden is a hidden cost of building your own integrations. As banks implement changes in the standard, have different interpretations of the implementation, and go through maintenance windows, the line of communication and relationship between all banks and a TPP is exceptionally costly for any business to maintain.

Lean works directly with banks daily as part of our core business, and so integrating with Lean means you don't have to worry about changes in the APIs and chasing banks when

an API stops working as expected. Thereby leaving you free to continue building the products and services that will delight your customers, without the need to tread water on your access layer.

Our APIs in the UAE have had a 99.9% average uptime over the previous two years.



Best-in-class UX

Lean is battle-tested in the UAE and knows how important user experience is to conversion rates. We rigorously test and monitor our SDK for optimizations that can be made across a wide variety of businesses—providing those learnings to our partners for free as we ship over-the-air updates to our SDK each week.

Lean Services



Data API

Lean's Data API in KSA currently covers Account, Balance, Transaction and Identity fetching providing basic access to your customer's banking data. Our scheduled payments, direct debit, beneficiary and standing order APIs will launch early next year, enabling you to access an even fuller view of your customer's financial data.



Transaction Categorization

Lean's data API enables access to data and enriches that access using proprietary Artificial Intelligence (AI) and Machine Learning (ML) models. Our Categorization engine accurately categorizes over 90+% of local transactions in the UAE and we're working on bringing the same level of reliability to KSA.

Transaction Categorization is currently available in beta while we gather the requisite data to improve our models.



Insights Services

On top of access to data, there are some frequently asked questions with Open Banking that can be solved at source by Lean. For example: which account is a Salary Account? What is this customer's income likely to be? What's the lowest amount held in their account(s) over the last 12 months?

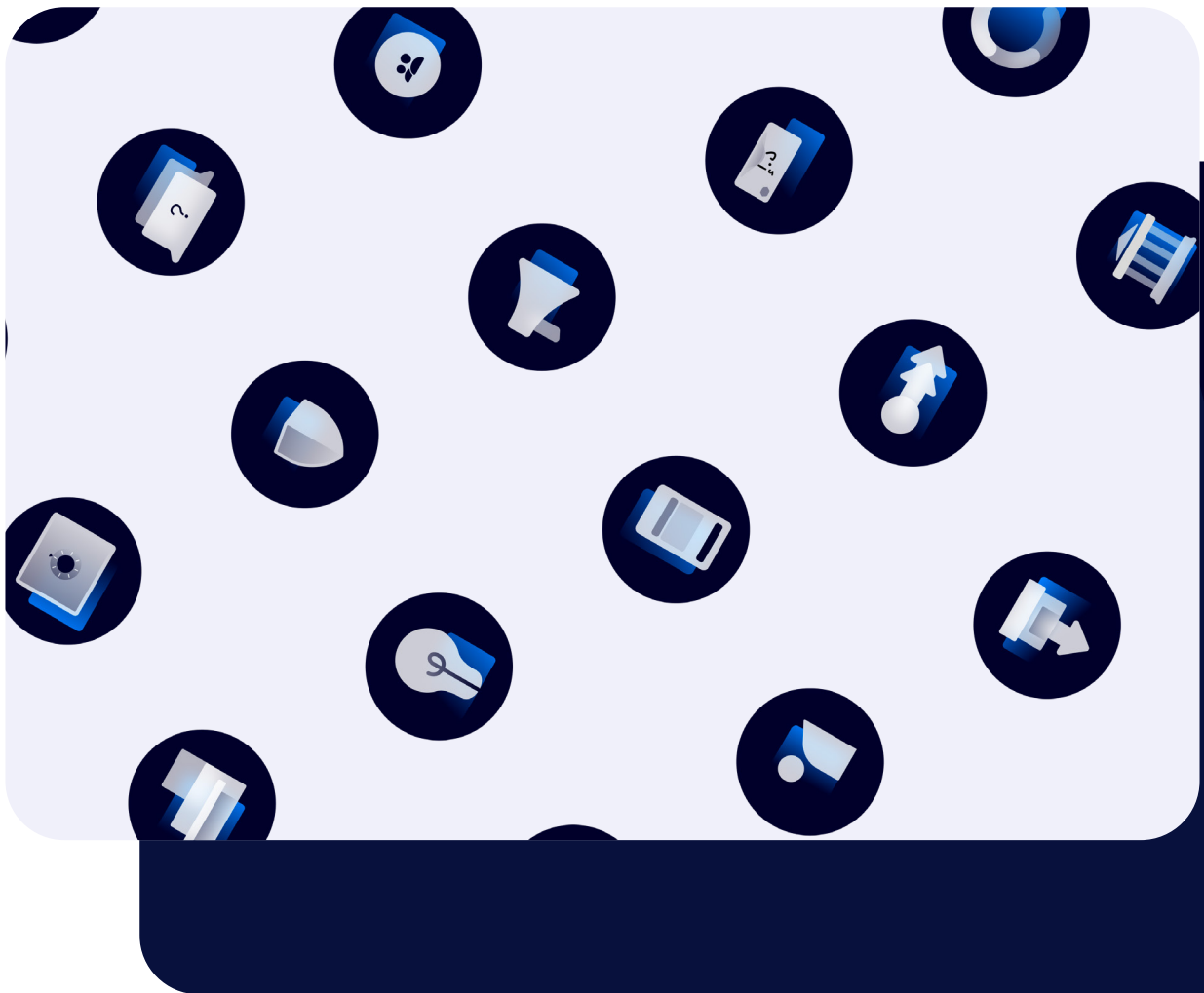
We apply AI, ML and data processing techniques to the data you retrieve to save you time and the development cost of performing data manipulation yourself.

Our insights services will launch shortly after our Data API is fully live and operational in Q1 '23. If you are interested in a data query, we want to work together to support you. Please reach out to our Sales team to discuss this further.

Future Services

Lean aims to build further services on top of our Data API to unlock and empower fintechs in the region. Our mission is to get fintechs to market faster and help them serve customers better.

Examples of these initiatives are demonstrated across our work in the UAE, where we are working to solve some of the biggest challenges customers have faced around A2A payments, such as reconciliation and programmatic access to corporate accounts to enable payment orchestrations to suppliers and customers.



Gaining access to Open Banking in KSA

As with any new regulatory framework, market participants can expect a period of adjustment whilst the regulator builds and improves upon its existing licensing framework to meet the demands and challenges of new regulatory activities.

The KSA Open Banking framework is no different, and the current SAMA licensing framework remains a 'work in progress'. The information in the following section therefore remains subject to change.

Do you need to be regulated in order to consume the KSA open banking APIs?

Based on our most recent conversations with the regulator, it is looking likely that, at least for now, you will need to be regulated by SAMA in some capacity or receive a letter of no objection from them to consume the open banking APIs in KSA. We believe this is because SAMA wants to carefully observe how the ecosystem develops in order to minimize the risk of consumer harm, which would have a detrimental effect on consumer uptake, innovation and indeed overall trust in the long-term sustainability of the ecosystem.

Under the current licensing framework, Lean is classified as a 'Permitted Fintech' in SAMA's regulatory sandbox

and is permitted to work with other fintechs in our sandbox cohort. As Lean onboards new players and see the potential benefits of open banking, the company is also uniquely positioned to provide valuable support from its foothold of the regulatory regime - whether it is engaging with the regulator to obtain a no objection letter on the client's behalf or providing assistance on the SAMA licensing application.

Lean is confident that as the demand for open banking-related services grows and the KSA open banking regulatory framework matures, this will result in more innovative use cases emerging. SAMA may adopt some form of agency model, similar to what has been adopted in the UK and other jurisdictions worldwide in the future to cater towards this demand.

How does the agency model work in open banking?

In the UK whereby open banking experienced 'a slow start' and was touted as being 'unlikely to work' and 'doomed to fail', we expect SAMA will allow leading open banking players, such as Lean, once they are fully SAMA licensed, to adopt a form of agency model.

Under an agency model, once appropriate compliance checks and due diligence steps have been completed, Lean will allow other market participants to offer their products and services by 'piggy-backing' off Lean's own SAMA license. As a result, Lean will be able to take care of the licensing burden for our clients and help navigate the evolving landscape of other regulations and compliance requirements. Lean's clients will not only be able to get to market faster but will also be able to build open finance solutions that reach a wider audience.

Whilst we acknowledge that adoption of the agency model increases the risk for Lean, and will not be available until Lean itself is fully licensed by SAMA, we have the strong belief that the adoption of such agency model will prove to be an invaluable way to bring innovation to the open banking economy.

When should you apply for an open banking license?

We recommend that you start early and engage with SAMA (and with Lean) as soon as you identify the open banking use case which will support your business. SAMA is in the implementation phase of rolling out the Open Banking Program, including the finalization of regulations, licenses and supervision requirements, so this will be your opportunity to help shape the ecosystem

as an early- mover. We are always willing to share our experiences and help guide other market participants, so feel free to reach out to Lean for tips and suggestions on getting started.

I am interested in becoming a technical service provider / a bank that consumes the open banking APIs. Do I need to be regulated?**

This aspect of SAMA's licensing framework is currently under assessment. The regulator is currently working on a market activation plan that will detail:

- The different roles of the market participants and SAMA's approach for activation and rollout, e.g. will banks be allowed to act as TPPs from day one with pros and cons for the different approaches.
- The different licenses and approvals market participants must apply for.

***Whenever embarking on your KSA open banking journey, we strongly recommend that you speak to advisers in the Kingdom to verify the latest position.*

Frequently Asked Questions

Have you integrated with all banks in KSA?

Lean is currently integrating with nine banks in KSA, with varying degrees of completion. At the time of writing (Dec' 22) we have one bank live in production and available to test with our Clients and four banks with completed integrations under testing in their respective sandboxes.

SAMA's timeline outlines that banks must develop and comply with the standards set out in the API by December '22, with market launch and readiness by the end of Q1 '23.

When will Payments functionality be available in KSA?

According to SAMA's timelines, TPPs such as Lean are expected to be able to provide payment services by H2 '23. Although the standard for payments will undergo the same process as the Data APIs, currently, there is no documentation in the public domain to indicate the functionalities that will be present within the Payments capabilities of KSA's implementation.

Do I need to be PCI-DSS Compliant to use Lean?

No. The KSAOB masks Primary Account Numbers (PAN), which comprise the full card number seen on cards. As a result, Lean does not handle any PCI data nor share data that would require PCI-DSS compliance.

Want to unlock open banking in Saudi Arabia?

Increase cost efficiencies, reduce manual and operational burdens, and create better payment experiences – build richer applications and enhanced financial products powered by Open Banking today.

Get in touch with us to get started on your Open Banking journey:

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